EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Calayan, Cagayan was founded in 1619. It was created as a municipal district of Batanes in 1896 and became part of the Province of Cagayan as a barrio of Aparri in 1902. It was declared as a separate town on March 6, 1923. The main Island of Calayan, the seat of government, is located about 100 kilometers north of Aparri, Cagayan. This town has a total land area of 54,953.75 hectares and is a first-class Municipality with twelve (12) barangays. This Municipality is an archipelago composed of small islands and islets.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Calayan for the year 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial position and financial performance of the Municipality of Calayan, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	889,452,724.16	851,637,228.68	37,815,495.48
Liabilities	241,852,995.43	200,270,986.18	41,582,009.25
Government Equity	647,599,728.73	651,366,242.50	(3,766,513.77)
Financial Performance			
Income	236,422,260.82	223,675,640.80	12,746,620.02
Expenses	234,565,948.16	197,758,732.16	36,807,216.00
Net Income	1,856,312.66	25,916,908.64	(24,060,595.98)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Name of Program/ Project/ Activity	Amount
Construction of Power Transmission/Distribution Line	P8,379,842.09
Construction of Perimeter Fence-Airport Terminal at Barangay Dadao	1,487,285.25
Concreting of Calayan Community Airport Exit Road	1,984,913.00
Concreting of Bucao Laguyo Road	1,488,806.00
Concreting of Kakutayan Farm to Market Road	1,283,131.51
Concreting of Calayan Circumferential Road (Don Mariano Marcos Road Section)	4,657,258.25
Concreting of Centro 2 Bridge Approach at Barangay Centro 2	3,936,891.71
Total	**23,218,127.81**

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Calayan, Cagayan for the year-ended December 31, 2024 due to: (1) non-transfer of completed projects amounting to P48,830,058.26 to their appropriate Property, Plant and Equipment accounts resulting in the non-recognition of the related Depreciation Expense and Accumulated Depreciation; and (2) non-maintenance of subsidiary ledger of the individual taxpayers of the Real Property Tax and Special Education Tax Receivables accounts amounting to P8,621,145.62 each.

F. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Long outstanding Other Receivables account totaling to P10.747 million as at December 31, 2024 continued to exist in the books of the LGU for more than ten (10) years, thus, affecting the fair presentation of this account in the Financial Statements.

   We recommended that the Management, thru the Local Chief Executive, exhaust all possible remedies available to collect from the persons liable who are separated from the LGU or deceased.

2. Terminal Leave Benefits account totaling to P8.004 million as at December 31, 2024 was misstated due to the non-accrual of earned and unused leave credits of permanent government personnel, resulting in the understatement of the "Leave Benefits Payable" account and overstatement of the "Terminal Leave Benefits" account in the financial statements.

   We recommended that the Municipal Mayor instruct the Municipal Accountant to draw the necessary journal entries to accrue the unused leave credits of all permanent government personnel at year-end to ensure that the "Leave Benefits Payable" and the Government Equity accounts are reliable and leave benefits

transactions are timely recorded in the correct period, in compliance with COA Circular No. 2015-009 dated December 1, 2015.

3. Cash-Local Treasury account amounting to P1.547 million as at December 31, 2024 remained undeposited with the authorized government depository bank due to the failure of the Management to enforce the immediate remittance of these collections, thereby, casting doubt on the existence and reliability on the reported balance of the said account and depriving the LGU of the immediate use of the funds for its priority programs and projects.

   We recommended that the Local Chief Executive require all persons accountable to remit immediately the total amount reported under Cash in Local Treasury - Old account.

G. Summary of Total Suspensions, Disallowances and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	**-**	-
Disallowances					
Prior Years	**-**	**-**	**-**	-	-
Current Year	**-**	**-**	**-**	-	-
Total	**-**	**-**	**-**	**-**	**-**
Charges					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	**-**	**-**	**-**	-	-

H. Status of Implementation of Prior Years' Audit Recommendations

Out of the eight (7) audit recommendations embodied in the CY 2023 Annual Audit Report, three (3) were fully implemented, one (1) was partially implemented, and three (3) were not implemented and reiterated in Part II of this Report.